INVEST & PROSPER
MUTUAL FUND DISTRIBUTION HOUSE

Annual Outlook 2024

23.01.2024

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General Concern of Investors

2 MAJOR WALL OF WORRIES

GEO-POLITICAL ESCALATIONS RISING AMONG WEST ASIAN COUNTRIES

2024 ELECTIONS -WHETHER BJP WILL RETURN TO POWER OR NOT

Let’s Analyse Marco Data since Oct’21 till Jan ’24

How Indian & Global Markets have performed

RANGE	28-Oct-21	12-Jan-23	20.Jan.2024	1 year Change in %	2 Year Change in %
SENSEX	**59306**	**59958**	**71423**	19.12%	8.48%
Nifty Index	**18190**	**17858**	**21571.8**	20.80%	7.84%
PE	27.31	21	22.79		
10 YEAR GSEC -YIELD	6.42	7.3	7.173		
INFLATION	4.48	5.75	5.69		
GST COLLECTION	130172	151000	164882	9.19%	10.53%
FD RATE	4.7	7.25	6.8	-6.21%	15.44%
DOLLAR	74.93	81.56	83.18	1.99%	4.96%
NASDAQ	15498	10931	15310	40.06%	-0.62%
DOW JONES	35820	33973	37863	11.45%	2.70%
HANG SENG	25377	21514	14961	-30.46%	-34.81%
US FED RATE	0.8	4.5	5.5	22.22%	42.73%
FOREX RESERVE (BILLION)	637	550	618.94	12.53%	-1.46%
FII OUTFLOW (in Crs)		-386159	-16510		
DII INFLOW (in Crs)		381757	184650		
SILVER	62572	71900	75500	5.01%	
GOLD	48720	56180	64140	14.17%	
FII INDIAN CO. ONWERSHIP	21	18	16	-11.11%	
CREDIT GROWTH	9.3	17	18	5.88%	
INDIAN WEIGHT IN MSEI	8.50%	16%	16%	0.00%	
BALANCE OF TRADE	19.73	24.78	19.8	-20.10%	0.18%

Key macro indicators

EDELWEISS MUTUAL FUND

Indicator	Jul-22	Aug-22	Sep-22	Oct-22	Nov-22	Dec-22	Jan-23	Feb-23	Mar-23	Apr-23	May-23	Jun-23	Jul-23	Aug-23	Sep-23	Oct-23	Nov-23
CPI Inflation (YoY %)	6.71	7	7.41	6.8	5.9	5.7	6.52	6.4	5.7	4.7	4.3	4.8	7.4	6.8	5	4.9	5.6
Crude Indian Basket ($)	106	98	90	91	87	78	80.7	82.4	78.3	83.5	75.1	74.9	80.4	86.4	93.54	90.08	83.46
GST Collection (lkh Cr.)	1.49	1.44	1.47	1.51	1.45	1.5	1.55	1.5	1.6	1.9	1.6	1.6	1.6	1.6	1.63	1.72	1.68
FX Reserve ($ bn)	574	561	537	531	550	562	576.8	560.9	578.4	588.8	589.1	595.1	604	595	587	586	598
Trade Balance ($Bn)	-28	-28	-26	-27	-23	-24	-17.7	-16.2	-18.6	-15.2	-22.1	-20.1	-20.7	-24.2	-19.37	-31.4	20.6
Bank Credit (Industry)	10.5	11.4	12.6	13.6	13.1	8.7	8.7	7.1	5.7	7	6	8.1	5.8	6.7	7.1	5.9	6.6
Bank Credit (Services)	16.5	17.2	20	22.5	21.3	21.3	21.5	20.7	19.8	21.6	21.0	26.7	23.1	24.7	25.1	23.6	25.4
Bank Credit (Retail)	18.4	19.5	19.6	20.2	19.7	20.2	20.4	20.4	20.6	19.4	19.3	20.9	31.7	30.8	30.4	29.7	30.1
Manufacturing PMI	56.4	56.2	55.1	55.3	55.7	57.8	55.4	55.3	56.4	57.2	58.7	57.8	57.7	58.6	57.5	55.5	56
Services PMI	55.5	57.2	54.3	55.1	56.4	58.5	57.2	59.4	57.8	62	61.2	58.5	62.3	60.1	61	58.4	56.9

Data Source: RBI and Bloomberg

Government reforms

EDELWEISS MUTUAL FUND

PLI

Financial incentives worth USD 26 Bn to promote domestic production in 14 sectors

Tax Cut

Corporate tax reduced; amongst lowest globally
- For existing units - 22%
- For new units - 15%

SemiCon

Incentives worth $10bn to develop semiconductors and display manufacturing ecosystem

EoBD

79 positions jump in Ease of Doing Business Rank. 40,000+ compliances reduced

Infra

$1.4 trillion spending plan in infrastructure in the next five years

IBC

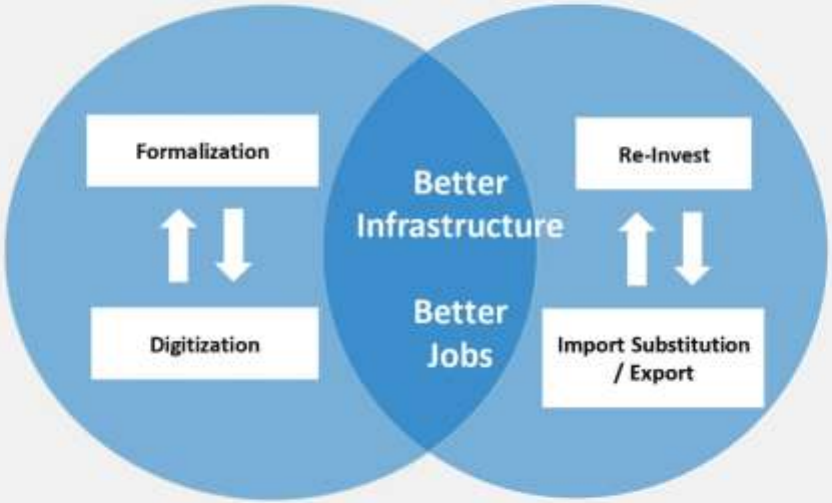
Insolvency and bankruptcy code to improve corporate insolvency resolution

- Increase in frequency of reforms post 2014.
- Continued engagement with key stakeholders leading to faster implementation and amendments
- These reforms are likely to generate macro dividends in coming years

Source: Bloomberg

India Big Picture : Virtuous Growth Cycles

- *Formal ready businesses benefitted from digitization, in turn, driving more businesses to formalize.*
- *Digital India has reached an inflection point which continues to push formalization*



- *Large domestic market gives companies opportunities to substitute, localize, bring down cost.*
- *Incentives of reinvestment pushing competitiveness which further drives reinvestment*

- PLI
- Manufacturing
- Jobs

- Consumption
- Real-estate
- Reduced trade deficit

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Source: Manulife Investment Management, 30 September 2020

Equity outlook CY-2024 - IV

EDELWEISS MUTUAL FUND

Themes to look at while entering 2024

Takes the centre stage with thrust from the government, aiming to add $ 2 Trillion to GDP by 2030.

Sustained urbanization, rental market growth and a steady appreciation in residential real estate.

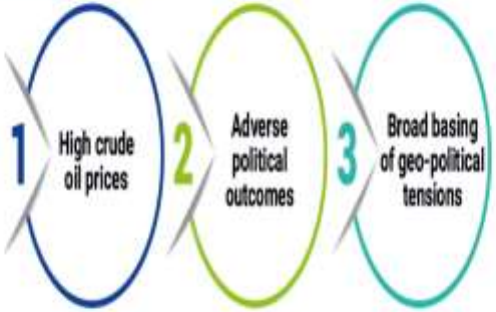
Surged order books by 15% in the first half of fiscal year compared to average of 5% in past 4years, indicating a pick-up in capex.

Dark horse of 2024, poised strategically to benefit from expectations of revival in global growth.

Equity outlook CY-2024 - V

EDELWEISS MUTUAL FUND

Key risks to look after



Advice for investors in 2024

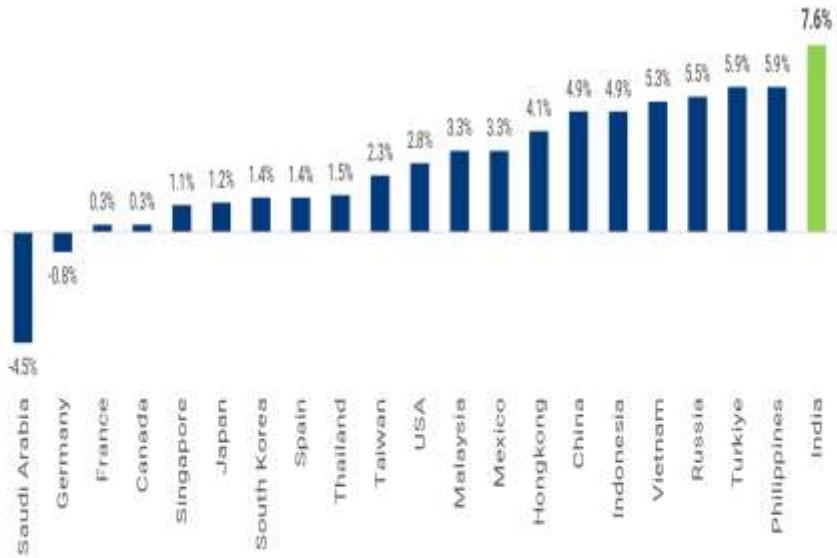
Given relatively favorable valuations for large-caps and positive earnings momentum for mid and small-caps, we consider maintaining a balanced portfolio across market caps to be a prudent strategy in the current market conditions.

India continues to be fastest growing economy

EDELWEISS MUTUAL FUND

RBI real GDP growth projection for FY 2024 : 7%

Real GDP growth in Qtr ending of Sep '23 YOY



Source: IMF, RBI, CEIC

India's Growth Story – From Coach To Engine

kotak Mutual Fund

IMF Applauds India's Growth Story, Declares 'Star Performer Contributing to Global Growth'

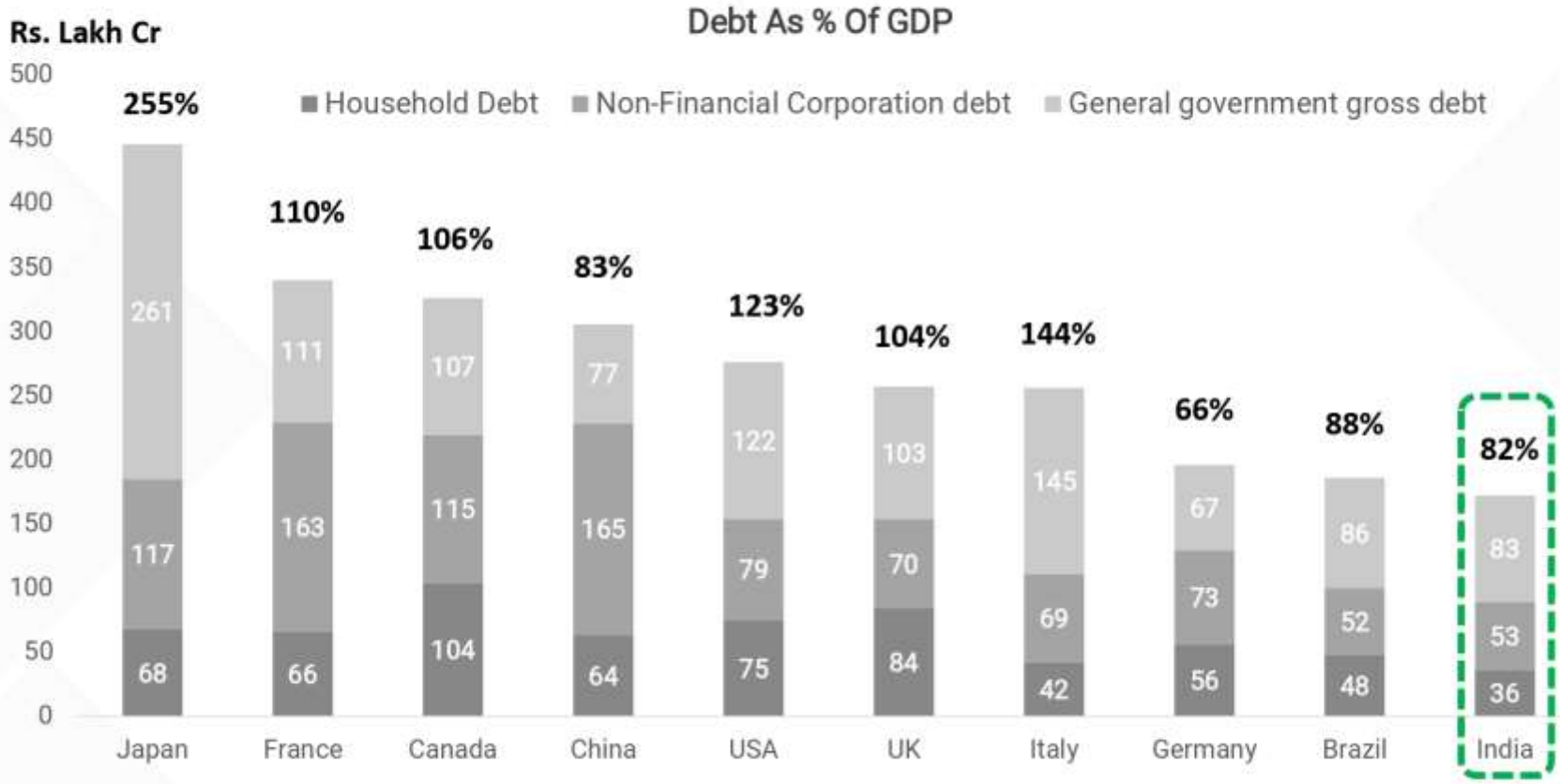
Dec 19, 2023. Times Now Digital

Year 2015
Per capita GDP: $ 1,590
Global Innovation Index: 81st Rank
Forex Reserves: ~$ 350Bn
GDP: $ 2,100Bn
Market Cap: $ 1,628Bn

Year 2023
Per Capita GDP: $ 2,410 # (~50% ↑)
Global Innovation Index: 40th Rank@ ↑
Forex Reserves: $ 607 Bn* (~71% ↑)
GDP: $ 3,750Bn@
Market Cap: $ 4000Bn^

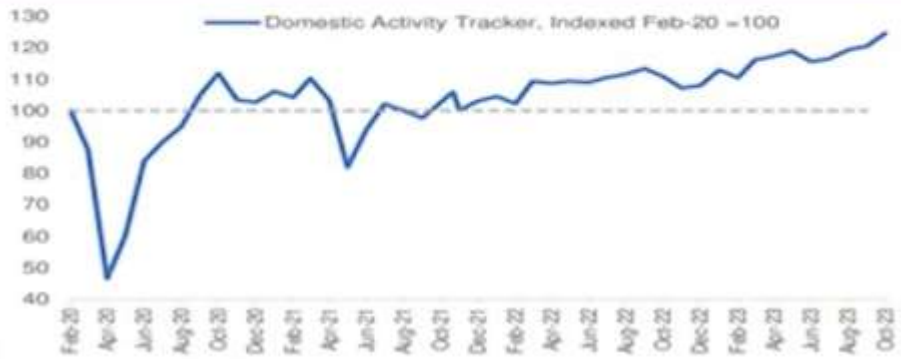
Source & Data: ^Bloomberg (Market cap as on 29-Nov-23), #World Bank (As on 27-Dec-23), *Trading Economics (As on 15-Dec-23), @PIB (GDP as on 29-Sep-23, Global innovation index rank as on 26-Dec-23). This is the latest data available

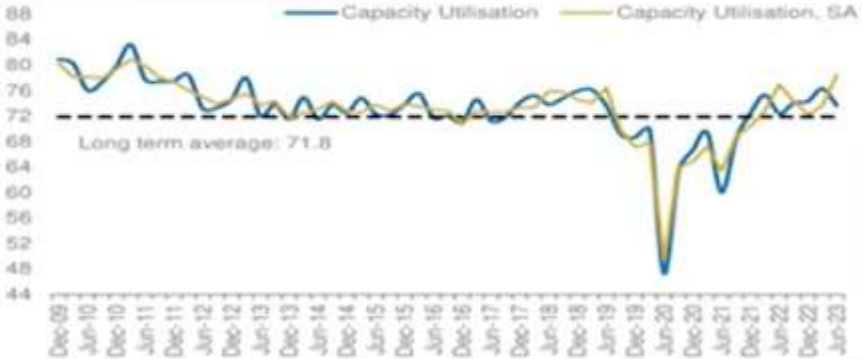
With The Tracks Well Laid..

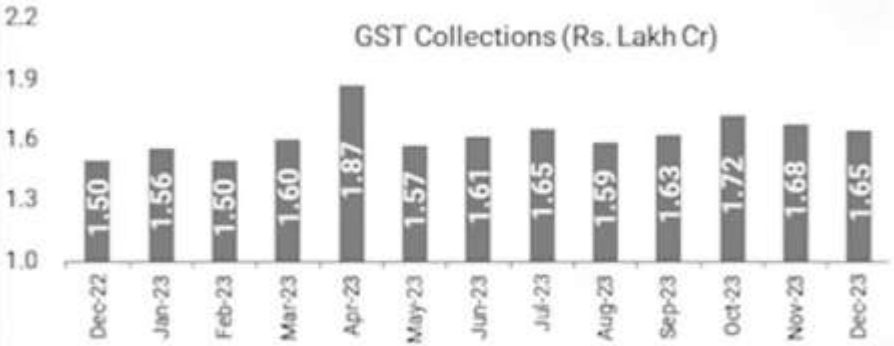


Source: IMF, CMIE, As on 27th Dec 2023.

Economic Activity Above Pre Covid Levels

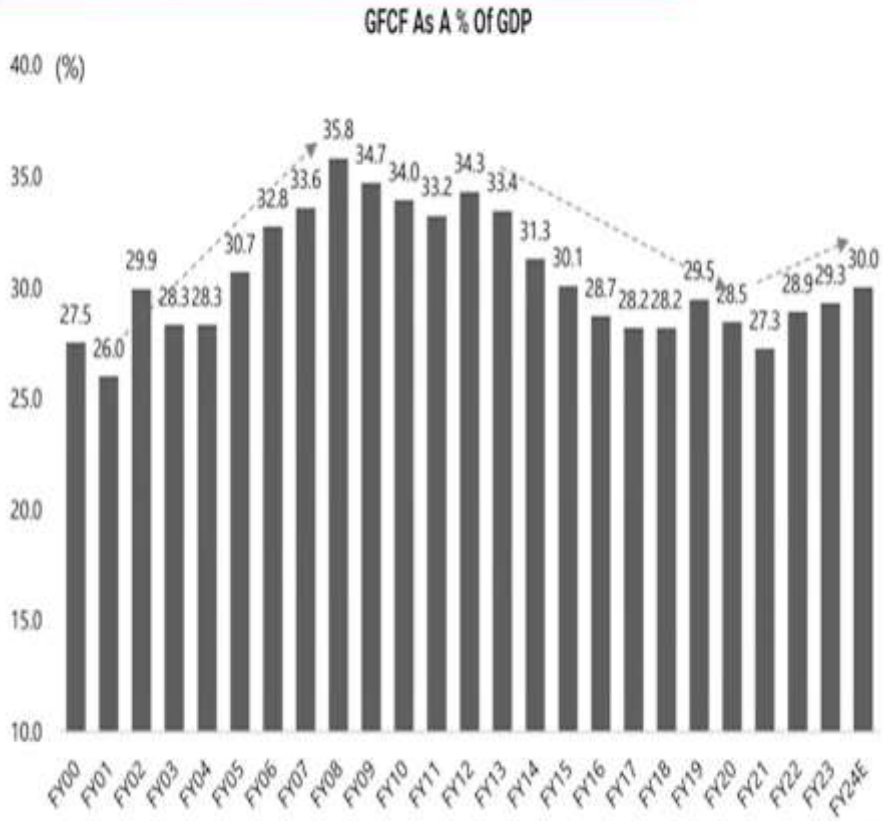






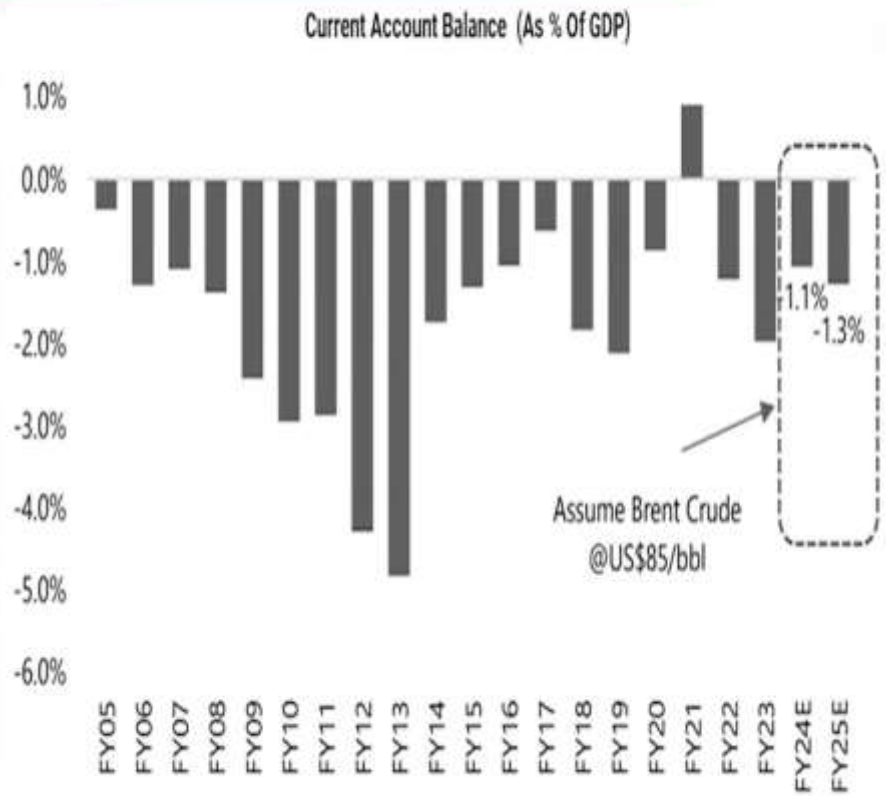
Source: Source: CEIC,NSO, Ministry of Power, MS Autos team, Haver, CMIE, Morgan Stanley Research. Note: The Economic Activity Tracker is computed using CMIE unemployment, power, rail freight, real GST collections, service and manufacturing PMI, real credit, and two wheeler and passenger vehicle sales. The data is indexed to Feb-20 =100

Investments Are Rising



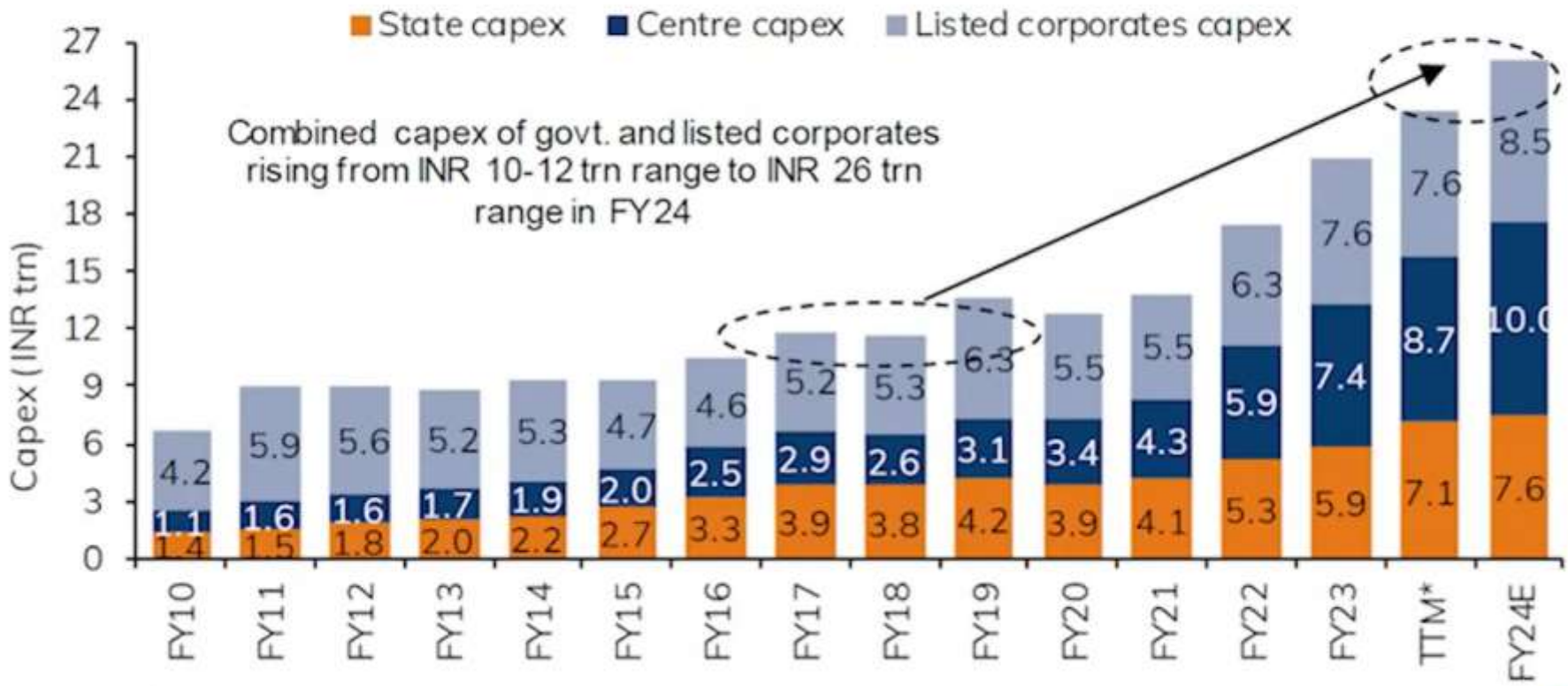
Source: CMIE, Jefferies

Current Account Balance Is Comfortable



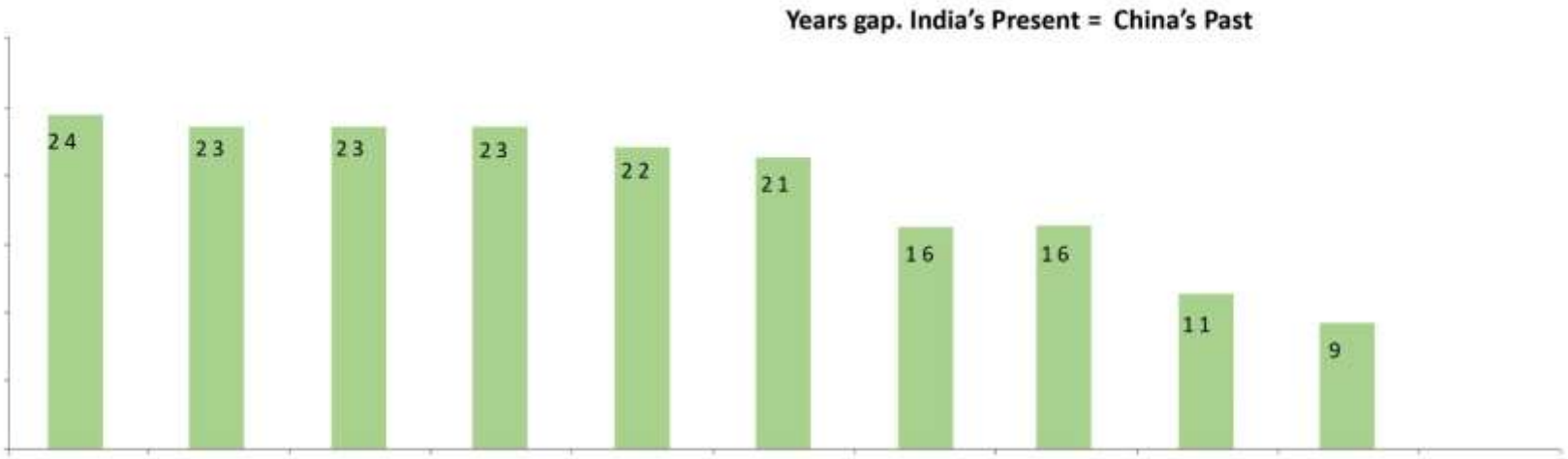
Source: RBI, Jefferies

Capex Cycle Firing On All Cylinders



Source: CEIC, I-Sec Research, Note: *TTM represent capex data till Oct'23

India Potential



Data (CY22 / CYtd23)	Oil (mbd)	Median Age (Years)	Urban Population as % of total	Electricity Consumed (kwh per Capita)	Net FDI Inflow (USD Bn)	Air passengers 2021 (Mn)	GDP (USD Trn)	GDP per Capita (USD)	Market Cap (USD Trn)	Services (% of GDP)	Population (bn)
India Present	4.4	28	36	1032	49.9	84	3.4	~2400	3.7	48.6	1.4
China Present	12.8	39	65	5464	180	440	18	~12670	10.7	52.8	1.4

Source : Internal; Broker , Bloomberg

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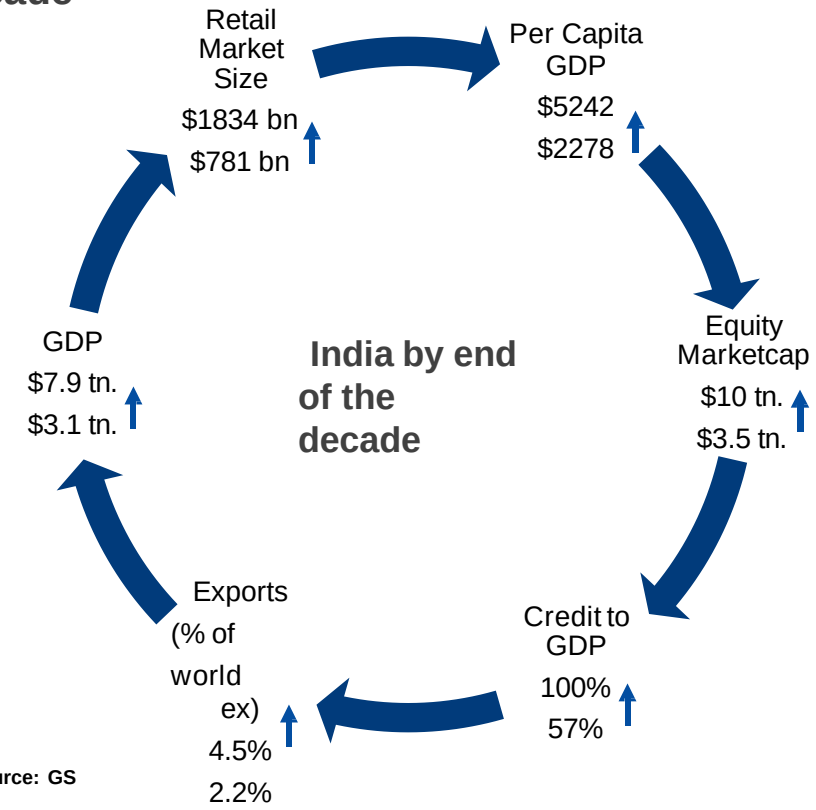
India's Decade

India to drive a fifth of global growth through the end of this decade



Growth lead by 4 pillars

Data Source: GS Report

Duration Shortened To Reaching Each Trillion Milestone

Range Of GDP	Years To Reach	Touched Trillion $ In
To $1 Tn	60 Years	2007
From $1 Tn to $2 Tn	7 Years	2014
From $2 Tn to $3 Tn	5 Years	2019
From $3 Tn to $4 Tn	Touched $3.75tn in 4 years	?

Source: investindia.gov.in. Data as on 11th Jan 23. This is the latest data available

Emerging Markets To S&P500 Lowest Since Nov' 2001

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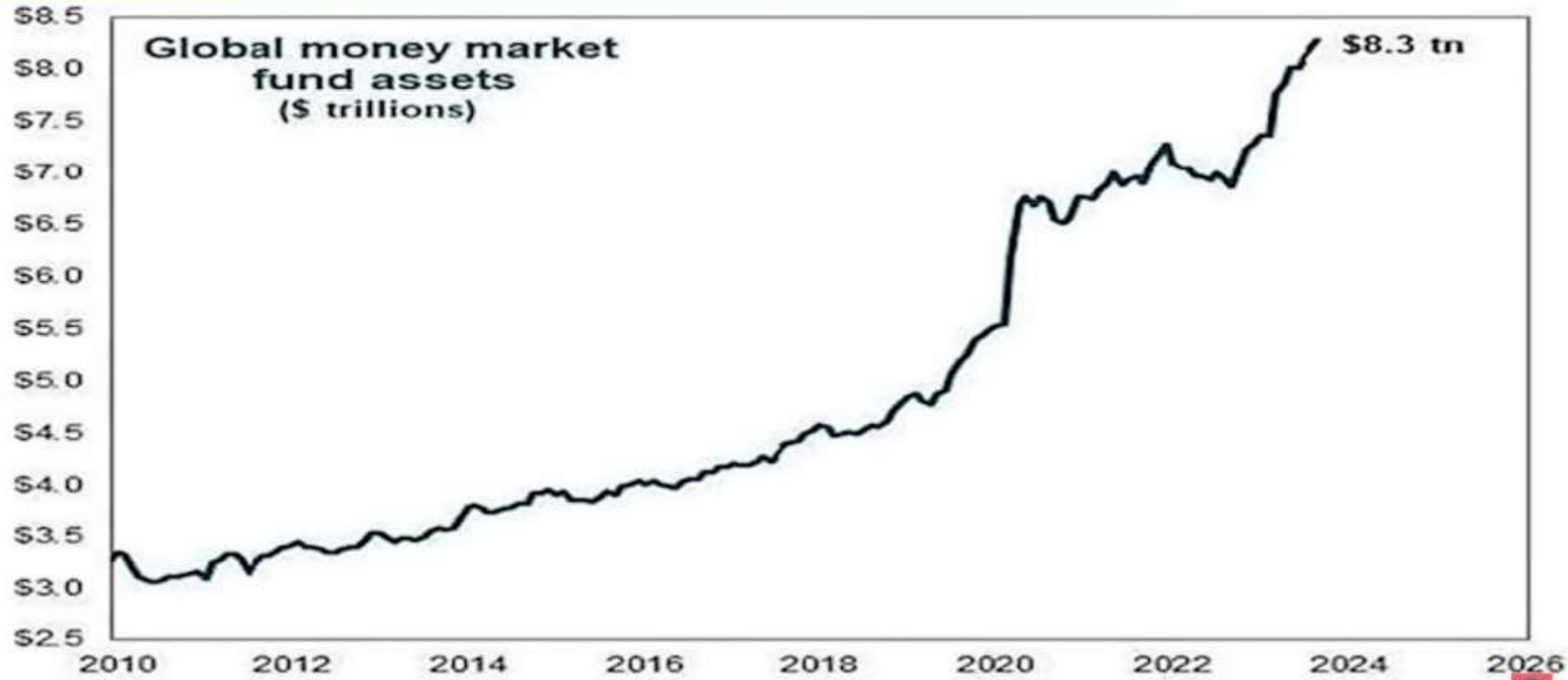
MSCI Emerging Markets Total Return(^MSEMTR) Total Return Level/S&P 500 Total Return(^SPXTR) Total Return Level

Source: CharlieBilello, Creative Planning

Will The Funds Move To Equities Post Rate Cuts?



Source: Goldman Sachs

Will Investors Bet On Performance Or Valuations ?

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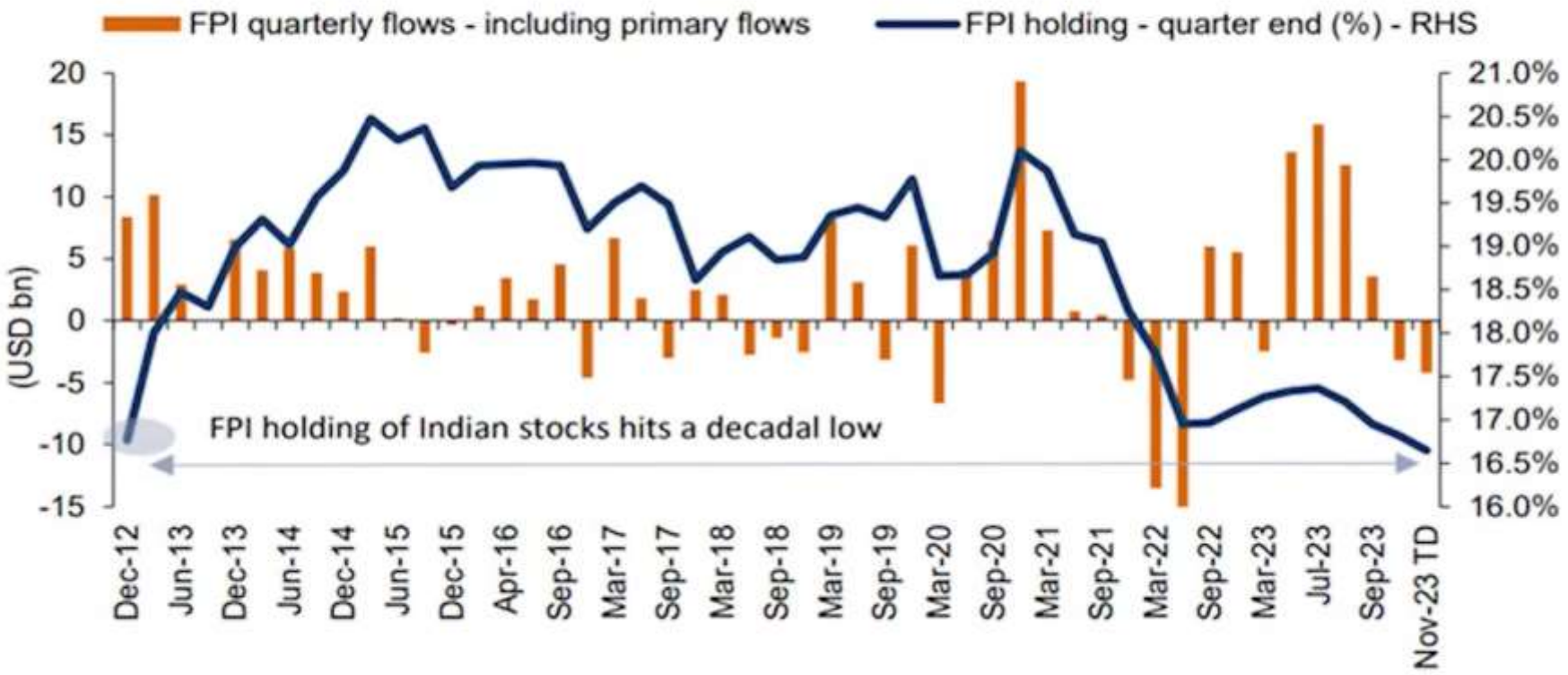
Country	PE Ratio	Current level last seen in USD	
India	25	2023	
Taiwan	21	2021	
Indonesia	18	2012	
Brazil	9	2007	
Pakistan	5	2007	
South Africa	11	2007	38% higher than 1989
South Korea	16	2007	
Vietnam	14	2006	
Russia	3	2005	
Turkey	6	1999	32% higher than 1989
China H	8	1993	

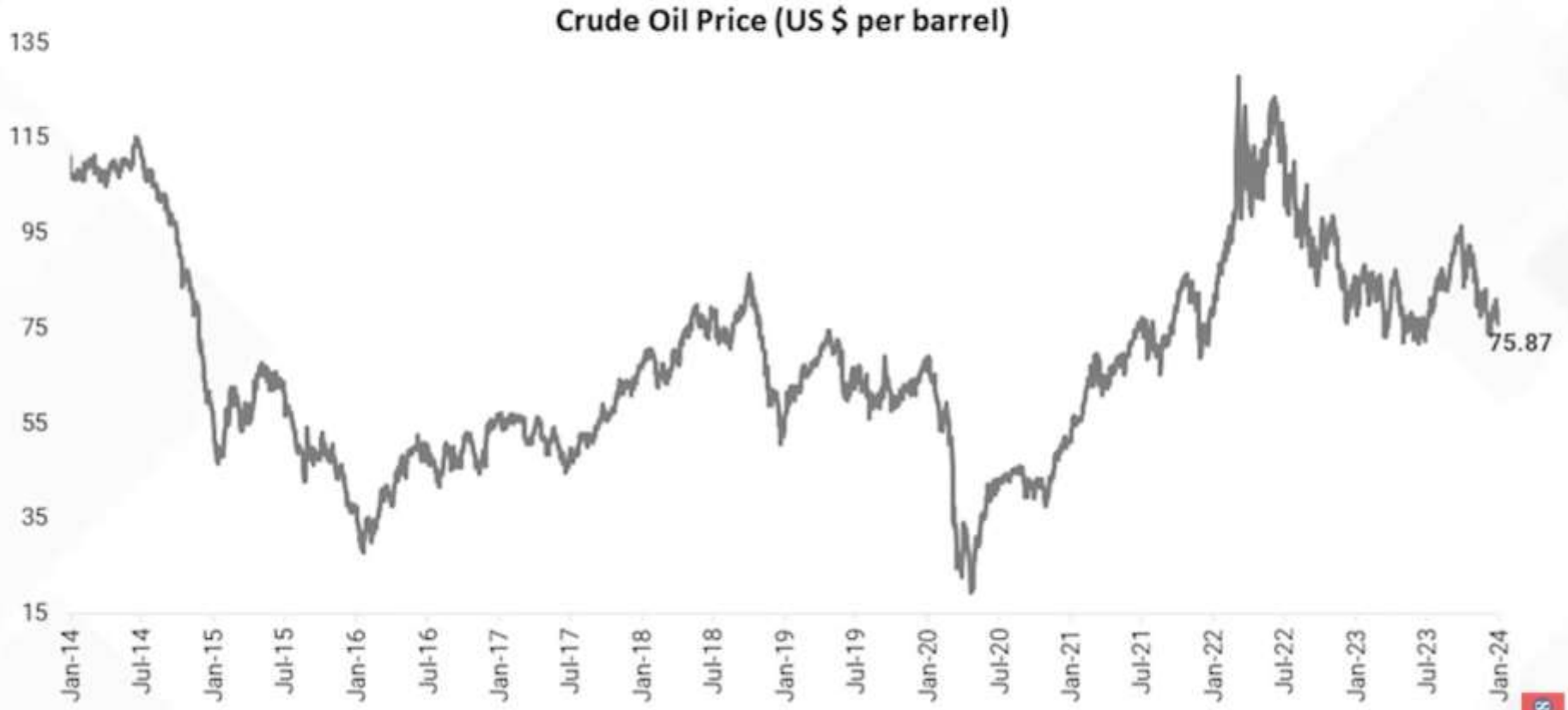
Source: Bloomberg

FPI Holdings In Indian Equities At A 10-year Low, Despite Strong Fundamentals



Source: NSDL, BSE website, I-Sec Research Note: Nov'23TD flows represents flows from 15th Aug, 23 to 15th Nov, 23

Oil Prices Have Corrected ~12% Since November



Source: Bloomberg

Headlines In December 2023

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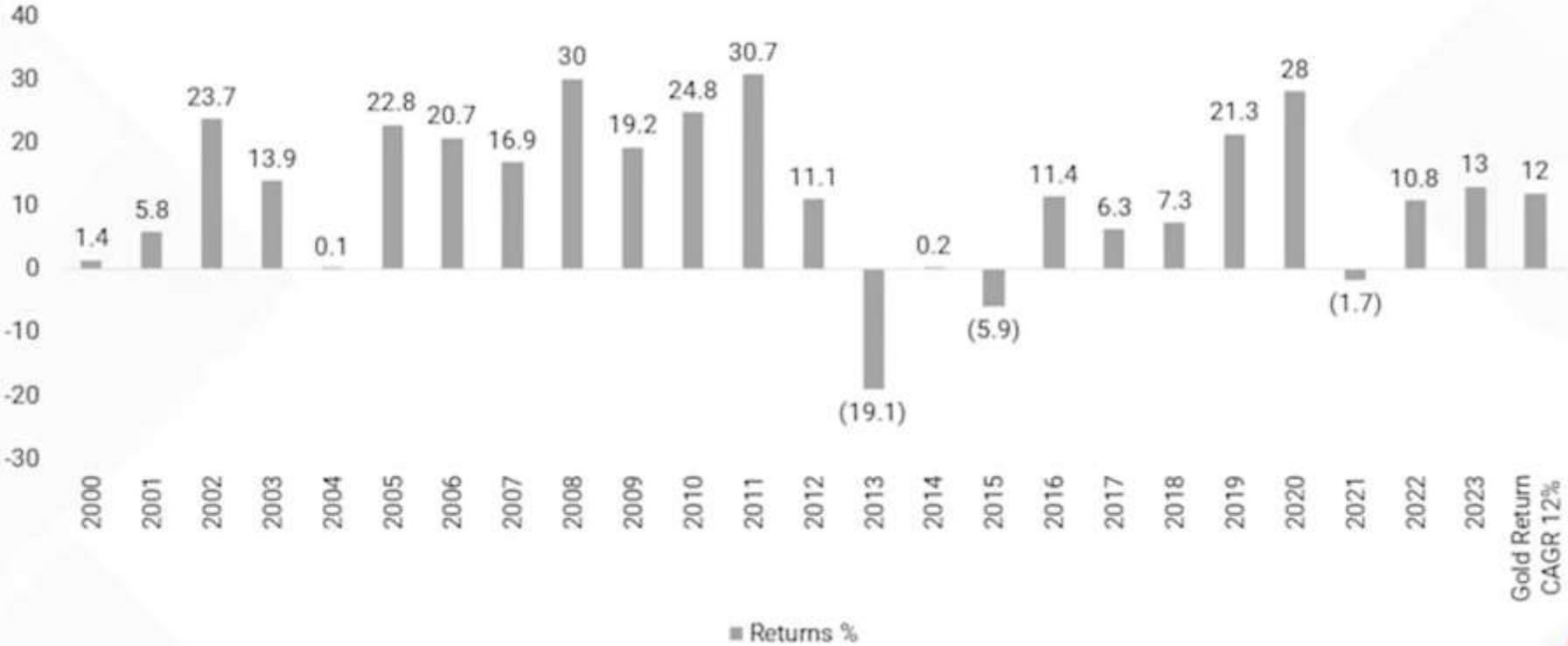
- Apple Aims To Make A Quarter Of The World's iPhone In India
- India Surpasses Japan, Secures Third Spot In Global Auto Sales
- Net Direct Tax Collections For FY24 Jumps Nearly 21% To Rs 13.70 Lakh Crore
- India's Cad Falls To 1% Of GDP At $8.3 Billion In September Quarter
- The Rupee This Calendar Year Displayed Remarkable Stability Against The Dollar
- India's Core Sector Growth Falls To A 6-month Low Of 7.8% In November
- Inflation Rises To 5.6% In November, Industrial Growth At A16-month High Of 11.7%
- India's Manufacturing PMI Hits An 18-month Low Of 54.9 In December

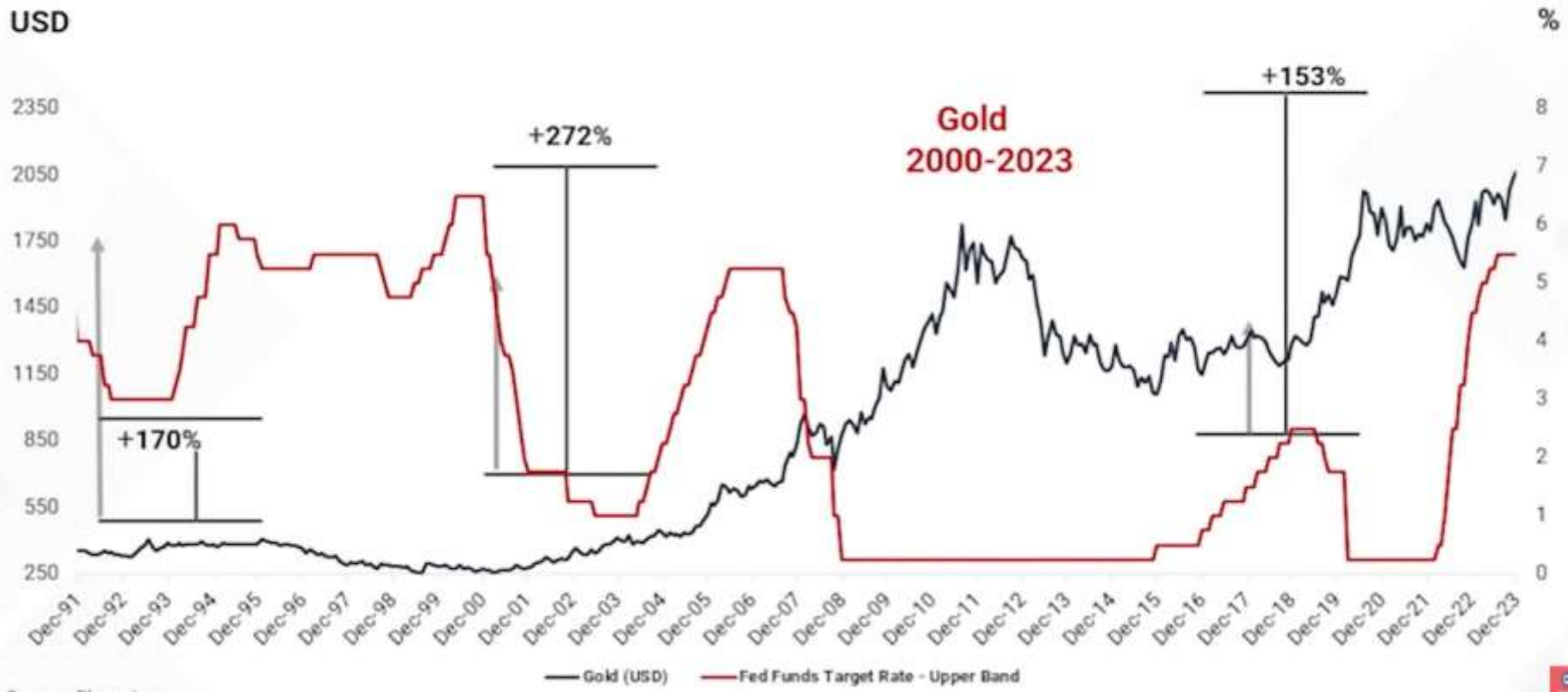
Source: wsj.com, livemint.com, Moneycontrol, economictimes.indiatimes.com

Gold Has Delivered 12% CAGR Since 2000



Source: Bloomberg

Falling Fed Rates Support Gold Prices



Source: Bloomberg

Industrial Silver Demand Is At A New High

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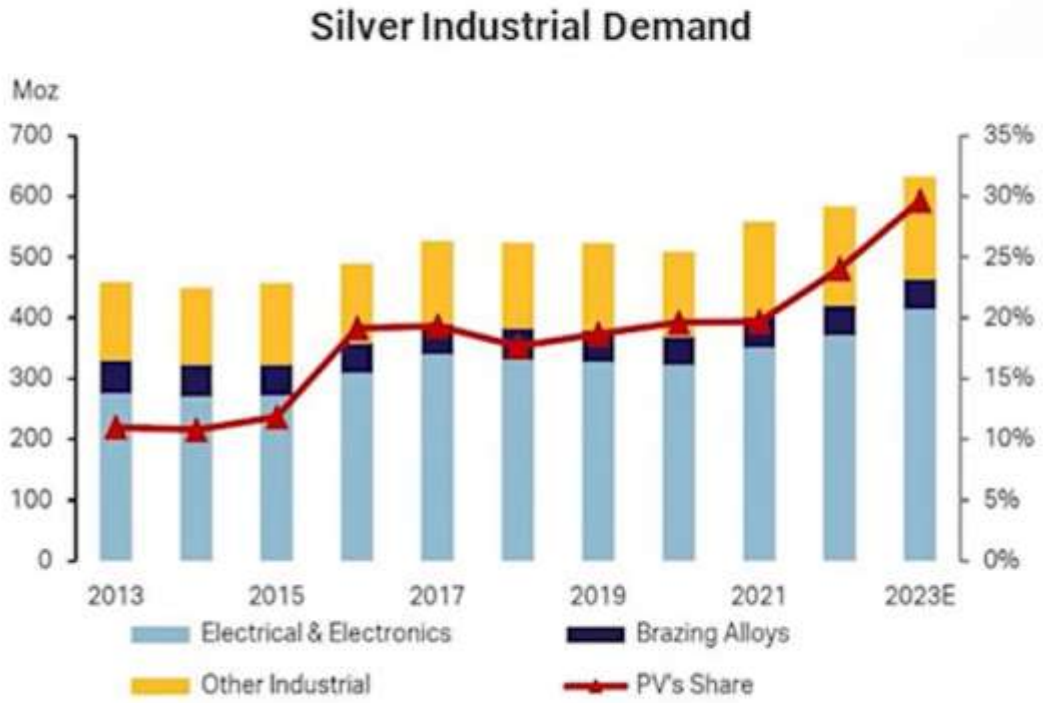
Factors That Have Helped In Growth

- Vehicle electrification
- Growing adoption of 5G technologies
- Solar Industry using PV cells
- Urbanization & Infrastructure



Source: Metals Focus, Silver Institute. This is the latest data available

Nifty PE Chart Express that Markets is not in Expensive Zone

Nifty PE Chart Ratio

Year	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
2000	26.16	27.12	25.69	22.81	20.33	23.68	22.33	20.53	20.84	18.22	18.77	19.59
2001	20.75	21.32	18.2	16.08	15.74	15.37	15.32	15.23	13.65	13.76	14.86	15.59
2002	16.42	18.32	18.59	18.02	17.44	16.28	15.39	14.54	14.69	14.25	14.55	14.57
2003	14.56	14.32	13.85	13.2	11.15	12.2	12.5	13.89	15.09	16.6	17.42	19.19
2004	21.02	20.32	20.78	19.91	14.86	12.18	13.08	13.5	14.14	15	15.67	16.04
2005	14.41	14.4	14.98	14.16	13.77	14.01	14.31	14.61	15.58	15.26	15.47	16.72
2006	17.27	17.97	19.25	20.59	19.53	16.65	17.95	18.55	20.09	20.92	20.72	20.95
2007	21.24	19.64	17.95	19.28	19.74	20.08	21.3	19.47	21.05	24.59	25.15	26.55
2008	25.33	22.19	20.58	21.26	21.46	19.04	17.56	18.63	17.98	13.77	12.42	12.69
2009	12.73	13.38	13.3	15.89	18.67	20.16	19.83	20.5	21.86	22.34	21.91	22.7
2010	22.84	20.72	22.03	22.76	21.2	21.73	22.42	22.95	24.51	25.23	24.39	23.82
2011	22.84	20.67	21.16	22.02	20.37	20.2	20.49	18.29	18.11	18.15	18.11	17.32
2012	17.71	19.09	18.74	18.46	16.97	16.89	17.22	17.67	18.42	18.95	18.14	18.63
2013	18.87	18.26	17.89	17.4	18.13	17.49	17.88	16.12	16.83	17.72	17.8	18.56
2014	18.29	17.37	18.33	18.99	19.62	20.57	20.66	20.42	21.2	20.65	21.5	21.23
2015	21.73	23.09	23.21	22.88	22.4	22.7	23.49	22.99	21.69	22.48	21.36	21.1
2016	20.34	19.34	20.39	21.29	21.51	22.52	23.33	23.65	24.08	23.35	21.99	21.49
2017	22.44	23.23	23.47	23.37	24.25	24.31	25.1	25.37	25.99	26.26	26.35	26.42
2018	27.24	25.61	24.97	26	26.58	26.77	27.19	28.22	27.46	25.05	25.59	26.07
2019	26.08	26.66	27.76	29.12	28.88	29.25	28.28	27.12	26.93	26.51	27.67	28.18
2020	27.96	26.92	21.38	20.38	21.24	24.7	28.6	31.59	32.55	33.99	34.34	37.26
2021	38.9	40.8	40.43	32.73	29.27	29.08	28.11	26.11	26.54	27.31	23.43	23.69
2022	23.42	22.21	21.7	22.7	20.32	19.43	20.73	21.2	20.64	20.9	21.9	22.43
2023	21.49	20.89	20.29	20.7	21.56	21.8	23.35	22.43	22.39	21.74	21	22.61
2024	22.79											

Value/ Investing Zone

Fair / Hold Zone

Cautious / Sell Zone

Nifty Returns/Movement on Monthly & Annual Basis

Year	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Annual
2000	4.44	7.02	-7.64	-7.98	-1.86	6.59	-9.42	4.6	-8.78	-7.78	8.13	-0.36	-14.65
2001	8.56	-1.48	-15.04	-2	3.79	-5.14	-3.16	-1.78	-13.28	6.35	9.8	-0.76	-16.18
2002	1.54	6.2	-1.09	-3.99	-5.14	2.82	-9.35	5.39	-4.7	-1.22	10.38	4.13	3.25
2003	-4.72	2.07	-8.01	-4.51	7.79	12.65	4.56	14.39	4.46	9.79	3.81	16.38	71.9
2004	-3.72	-0.52	-1.58	1.37	-17.4	1.48	8.42	-0.03	6.97	2.37	9.62	6.21	10.68
2005	-1.1	2.22	-3.21	-6.54	9.73	6.37	4.13	3.13	9.09	-8.86	11.86	6.95	36.34
2006	5.8	2.45	10.66	4.56	-13.68	1.86	0.48	8.61	5.11	4.34	5.62	0.3	39.83
2007	2.93	-8.26	2.04	6.97	5.09	0.52	4.88	-1.43	12.49	17.51	-2.34	6.52	54.77
2008	-16.31	1.67	-9.36	9.11	-5.73	-17.03	7.24	0.62	-10.06	-26.41	-4.52	7.41	-51.79
2009	-2.85	-3.87	9.31	15	28.07	-3.55	8.05	0.55	9.05	-7.32	6.81	3.35	75.76
2010	-6.13	0.82	6.64	0.55	-3.63	4.45	1.04	0.65	11.62	-0.2	-2.58	4.64	17.95
2011	-10.25	-3.14	9.38	-1.44	-3.29	1.57	-2.93	-8.77	-1.15	7.76	-9.28	-4.3	-24.62
2012	12.43	3.58	-1.66	-0.9	-6.17	7.2	-0.95	0.56	8.46	-1.47	4.63	0.43	27.7
2013	2.2	-5.66	-0.18	4.36	0.94	-2.4	-1.72	-4.71	4.82	9.83	-1.95	2.07	6.76
2014	-3.4	3.08	6.81	-0.12	7.97	5.28	1.44	3.02	0.13	4.49	3.2	-3.56	31.39
2015	6.35	1.06	-4.62	-3.65	3.08	-0.77	1.96	-6.58	-0.28	1.47	-1.62	0.14	-4.06
2016	-4.82	-7.62	10.75	1.44	3.95	1.56	4.23	1.71	-1.99	0.17	-4.65	-0.47	3.01
2017	4.59	3.72	3.31	1.42	3.41	-1.04	5.84	-1.58	-1.3	5.59	-1.05	2.97	28.65
2018	4.72	-4.85	-3.61	6.19	-0.03	-0.2	5.99	2.85	-6.42	-4.98	4.72	-0.13	3.15
2019	-0.29	-0.36	7.7	1.07	1.49	-1.12	-5.69	-0.85	4.09	3.51	1.5	0.93	12.02
2020	-1.7	-6.36	-23.25	14.68	-2.84	7.53	7.49	2.84	1.22	3.51	11.39	7.81	14.17
2021	-2.48	6.56	1.11	-0.41	6.5	0.89	0.26	8.69	2.77	0.37	-3.89	2.18	24.12
2022	-0.09	-3.46	4.33	-2.07	-3.03	-4.85	8.73	3.5	-3.75	5.37	4.14	-3.48	4.32
2023	-2.45	-2.03	0.32	4.06	2.6	3.53	2.94	-2.53	2	-2.84	5.52	7.94	19.42
2024													

2024 Elections -Whether BJP will return to power or not – Is it really a worry for long term Investors

2004

NDA Voted Out

Date	Nifty Levels		Correction & Recovery	Correction & Recovery
09-01-2004	1971	High		
17-05-2004	1388.75	Low	-30%	129
30-11-2004	1958.6	Recovery	41%	197

Date	HDFC Top 100 Fund	Correction & Recovery in %	Units/1000000 Lakh	
09-01-2004	43.50		22991.148	1000000
17-05-2004	32.09	-24%	22991.148	758501
30-11-2004	46.92	42%	22991.148	1078745

Date	Franklin Prima Fund	Correction & Recovery in %	Units/1000000 Lakh	
09-01-2004	81.3		12306.2	1000000
17-05-2004	64.6	-21%	12306.2	794979
30-11-2004	97.2	51%	12306.2	1196530

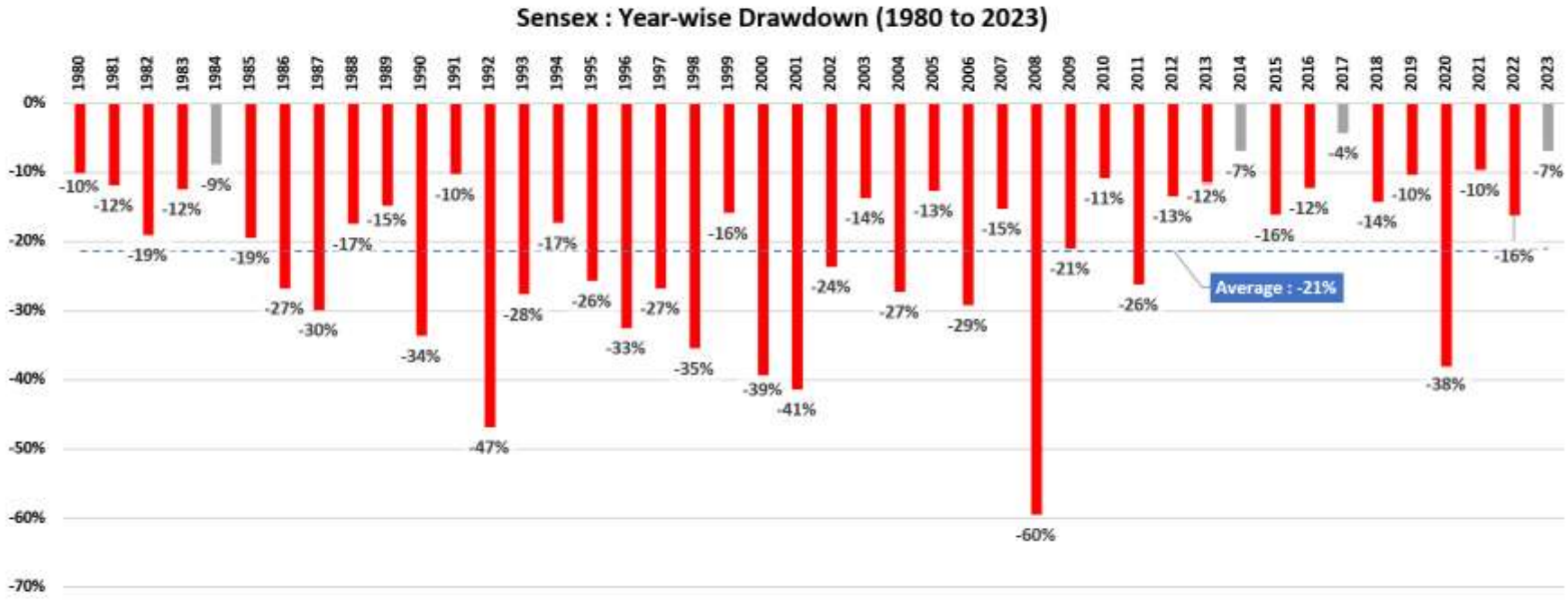
Date	Nippon India	Correction & Recovery in %	Units/1000000 Lakh	
09-01-2004	79.8		12530	1000000
17-05-2004	66.5	-17%	12530	833730
30-11-2004	99.1	49%	12530	1241198

Elections & Other Events turns out to be temporary & short lived

Date	Nifty Levels		Correction & Recovery	Correction & Recovery	HDFC Top 100 Fund	Correction & Recovery in%	Units/1000000 Lakh		Franklin Prima Fund	Correction & Recovery	Units/1000000 Lakh		Nippon India Growth Fund	Correction & Recovery in%	Units/1000000 Lakh	
09/01/2004	1971	High			43.50		22991.14841	1000000	81.3		12306.2	1000000	79.8		12529.76	1000000
17/05/2004	1466.75	Low	-26%	128	32.86	-24%	22991.14841	756501	64.6	-21%	12306.2	794670	66.3	-17%	12529.76	831220
30/11/2004	1958.6	Recovery	41%	197	46.92	42%	22991.14841	1078745	97.2	51%	12306.2	1196530	99.1	49%	12529.76	1241198
05/10/2005	2644	High			71.10		22991.14841	1634602	162.8		12306.2	2003815	179.3		12529.76	2246586
31/10/2005	2370	Low	-10%	26	66.01	-7%	22991.14841	1517646	146.6	-9%	12306.2	1803643	157.3	-12%	12529.76	1971307
06/12/2005	2662.2	Recovery	12%	36	74.69	13%	22991.14841	1717255	209.3	40%	12306.2	2576200	176.4	12%	12529.76	2210625
10/05/2006	3754	High			52.42		22991.14841	1205196	211.5		12306.2	2602634	259.8		12529.76	3255732
13/06/2006	3663	Low	-2%	24	52.43	0%	22991.14841	1205431	144.3	-32%	12306.2	1775386	175.5	-32%	12529.76	2199474
27/10/2006	3739	Recovery	40%	136	104.08	88%	22991.14841	2392896	190.5	32%	12306.2	2344204	248.2	41%	12529.76	3110137
07/02/2007	4224	High			114.81		22991.14841	2639706	219.1		12306.2	2695791	283.2		12529.76	3548302
05/03/2007	3976	Low	-15%	29	97.94	-15%	22991.14841	2251299	187.0	-16%	12306.2	2299845	240.3	-15%	12529.76	3012418
25/06/2007	4259	Recovery	19%	112	119.25	22%	22991.14841	2741579	222.9	21%	12306.2	2743462	303.4	22%	12529.76	3801403
07/01/2008	6279	High			173.74		22991.14841	**3994413.2**	321.5		12306.2	**3956226.9**	489.9		12529.76	**6138579.1**
27/10/2008	3524	Low	-44%	294	93.31	-52%	22991.14841	2145276	107.8	-66%	12306.2	1326727	197.9	-60%	12529.76	2478136
08/11/2010	6273	Recovery	149%	742	235.34	183%	22991.14841	5410783	316.2	193%	12306.2	3890870	547.7	177%	12529.76	6862924
08/11/2010	6273	High			235.34		22991.14841	5410783	316.2		12306.2	3890870	547.7		12529.76	6862924
08/11/2011	4544	Low	-28%	887	168.09	-29%	22991.14841	3863706	224.7	-29%	12306.2	2765180	356.7	-35%	12529.76	4469115
05/03/2014	6328	Recovery	39%	806	235.01	40%	22991.14841	**5403103.8**	361.5	61%	12306.2	**4448746.0**	481.8	35%	12529.76	**6037338.7**
05/03/2015	8937	High			358.76		22991.14841	8248327	683.4		12306.2	8409519	833.1		12529.76	10438599
26/02/2016	7026	Low	-21%	358	276.38	-25%	22991.14841	6356397	588.0	-14%	12306.2	7236980	667.7	-20%	12529.76	8366859
17/04/2017	9139	Recovery	30%	416	403.90	49%	22991.14841	9286079	877.3	49%	12306.2	10795943	971.1	45%	12529.76	12167826
29/08/2017	11691	High			427.24		22991.14841	9822738	894.3		12306.2	11005730	1049.1		12529.76	13145151
26/10/2018	10030	Low	-14%	427	328.19	-23%	22991.14841	7544485	855.9	-4%	12306.2	10532563	860.7	-7%	12529.76	10787386
26/04/2019	11754	Recovery	17%	182	502.47	17%	22991.14841	11552293	952.9	11%	12306.2	11726457	1114.8	14%	12529.76	13967663
17/01/2020	12352	High			503.84		22991.14841	11583791	1001.1		12306.2	12319605	1202.2		12529.76	15063817
23/03/2020	8610	Low	-30%	66	307.24	-39%	22991.14841	7061692	596.1	-40%	12306.2	7330709	804.4	-33%	12529.76	10079966
09/11/2020	12461	Recovery	64%	231	466.24	52%	22991.14841	10719485	998.5	55%	12306.2	12287379	1220.0	52%	12529.76	15286192
18/10/2021	18477	High			730.50		22991.14841	16795080	1635.6		12306.2	20127805	2190.5		12529.76	27446801
24/06/2022	15800	Low	-14%	249	641.45	-14%	22991.14841	14747557	1280.5	-22%	12306.2	15757845	1847.5718	-16%	12529.76	23148636
20/07/2023	19979	Recovery	28%	391	850.44	33%	22991.14841	**19552592**	1737.5	36%	12306.1777	**21382107**	2534.32	37%	12529.76	**31754417**
23/01/2024	**21572**		8%	187	988.94	16%	22991.14841	**22736866**	2072.9	19%	12306.1777	**25509353**	3148.72	24%	12529.76	**39452753**
*CAGR Returns Since 2004 till Jan 2024								17.62%				18.23%				21.0%

Equity Markets witness 10-20% temporary declines almost every year

FundsIndia



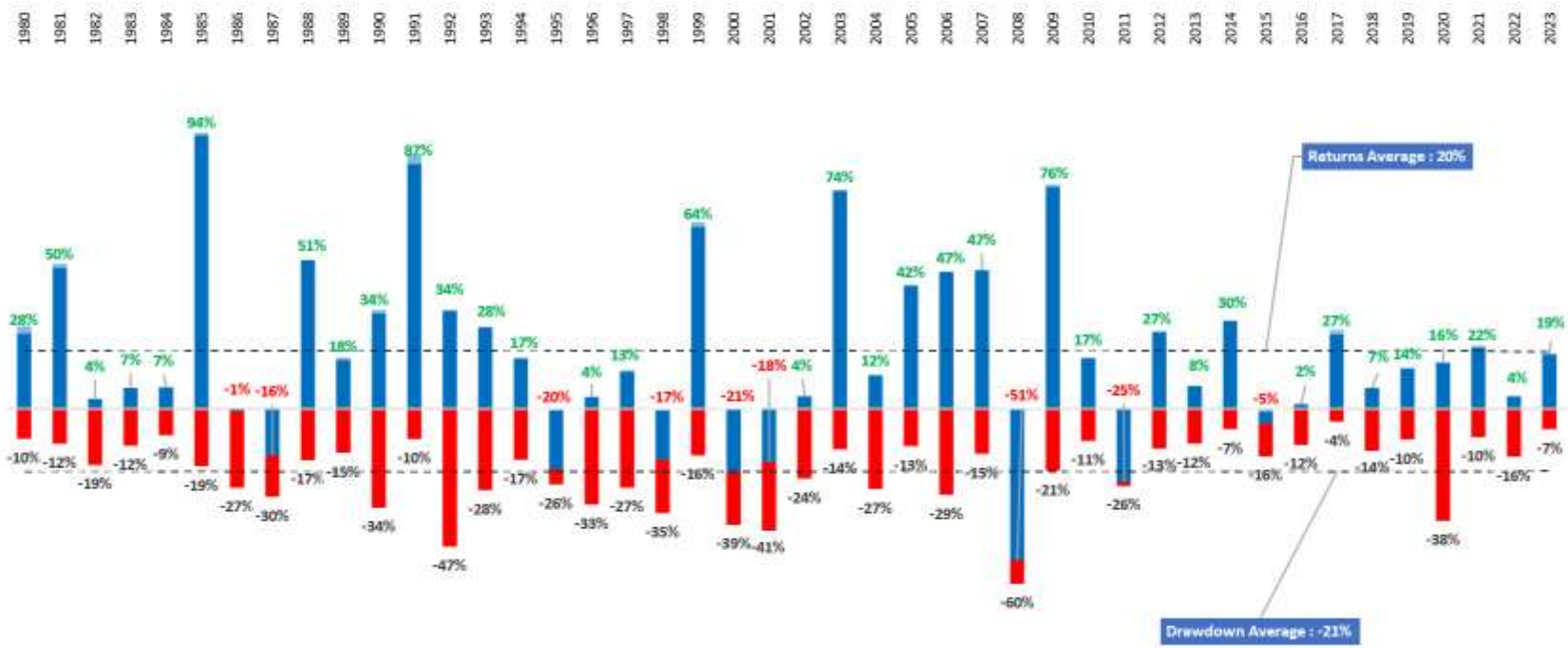
Only 4 out of the last 44 calendar years, had intra-year declines less than 10%

Source: MFI, FundsIndia Research. *Note: Drawdown of 2023 updated till 31-Dec-2023*

Despite an intra-year decline of more than 10% almost every year, 3 out of 4 years ended with positive returns!

FundsIndia

Sensex (1980 to 2023) - Calendar Year Returns vs Drawdown



Despite the markets having intra-year declines every year, 35 out of 44 years ended with positive returns

Source: MFI, FundsIndia Research. *Note: Drawdown and Returns of 2023 updated till 31-Dec-2023.*

Every crisis in the past has been followed by a recovery and further upside

FundsIndia

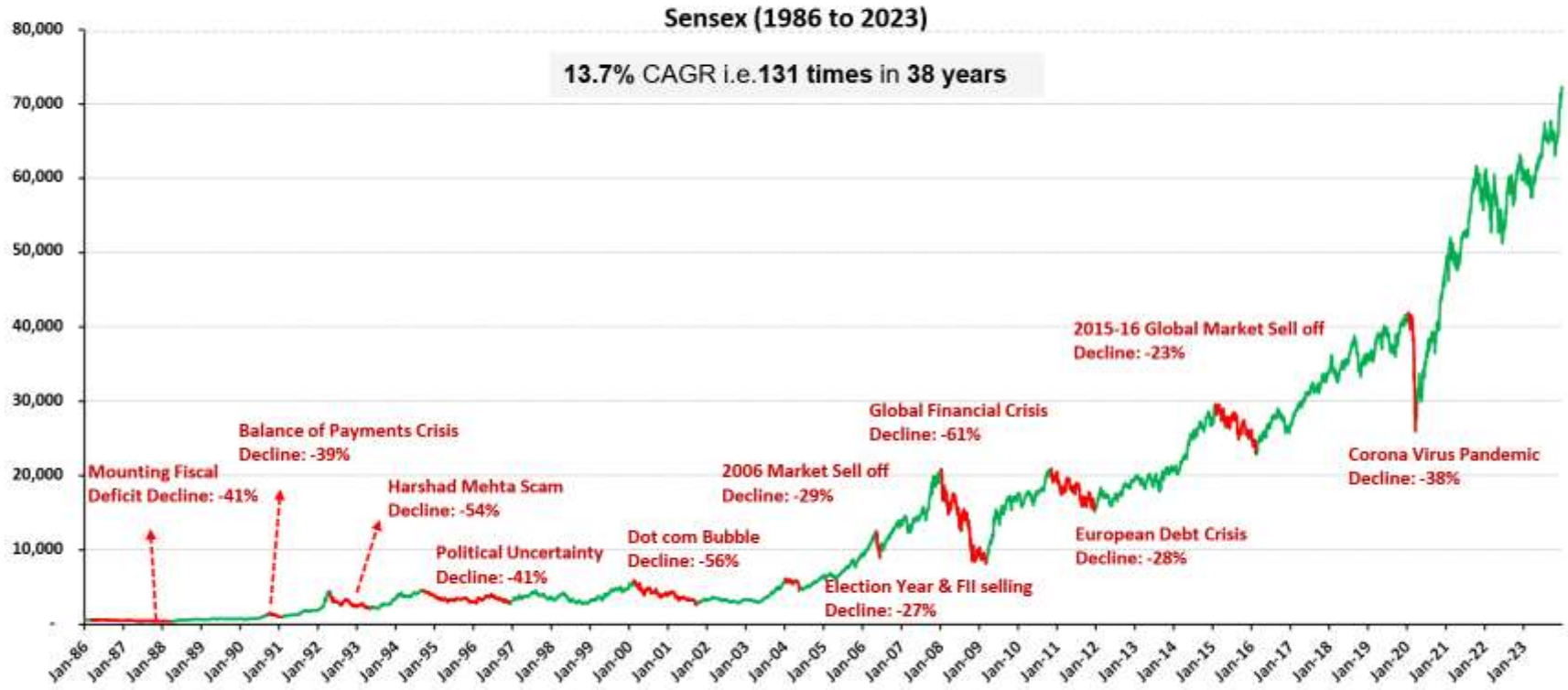
Sensex - Market Decline and Recovery (1980 to 2023)

Upsides are much higher than the Declines!

Source: MFI, FundsIndia Research. As of 31-Dec-2023. Returns shown are Absolute.

Despite several intermittent crises, Indian Equities have gone up over the long run mirroring earnings growth

FundsIndia

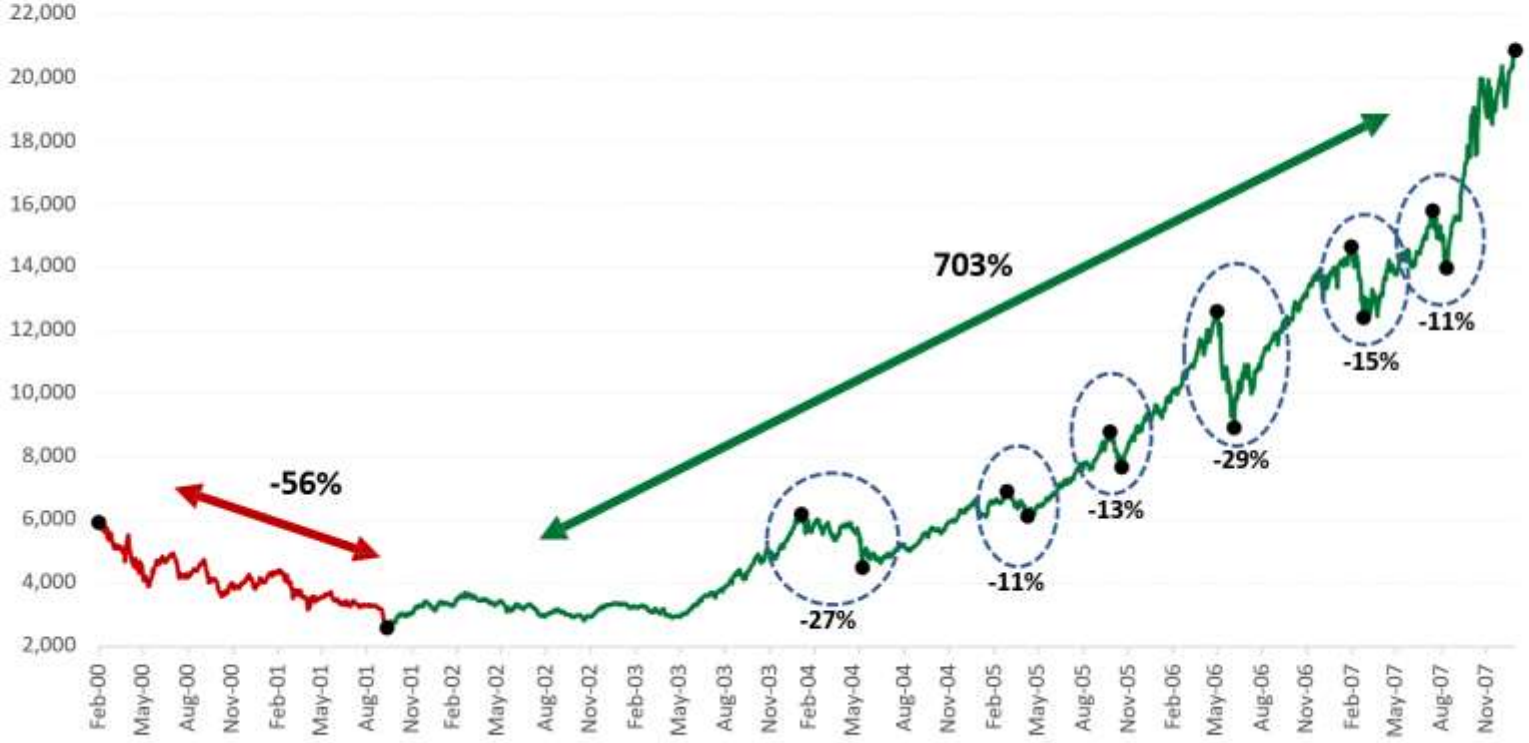


Source: MFI, FundsIndia Research. Index: S&P BSE Sensex (As of 31-Dec-2023)

Even Bull Markets have several intermittent declines

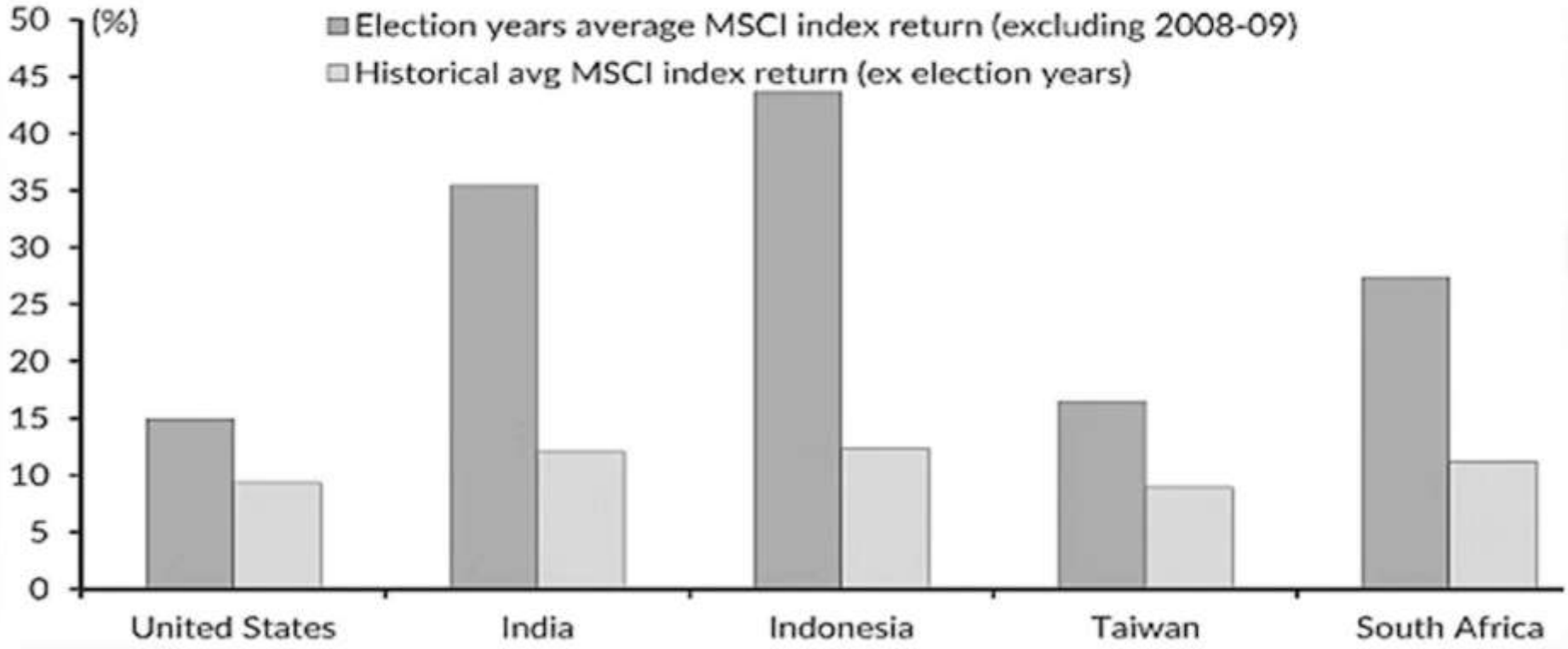
FundsIndia

Sensex (Feb 2000 to Dec 2007) – 6 Temporary Declines



Source: BSE, FundsIndia Research; Returns shown are Absolute.

Election Year Results Into Outperformance



Source: CLSA, Factset

Why invest during bad times?

20,870 Sensex 09-Jan-08	-61% →	8,160 Sensex 09-Mar-09	157% →	21,005 Sensex 05-Nov-10
29,449 Sensex 05-Mar-15	-22% →	22,952 Sensex 11-Feb-16	58% →	36,283 Sensex 29-Jan-18
41,566 Sensex 12-Feb-20	-37% →	25,981 Sensex 23-Mar-20	100% →	52,154 Sensex 15-Feb-21
61,765 Sensex 18-Oct-21	-17% →	51,360 Sensex 17-Jun-22	16% →	???

Past performances may or may not be sustained in future.

- **Performance Report of Mutual Funds Vs Index**

Performance of Sectors vs Index

International Index n Stock Performance	18.10.2021	12.01.2023	20.01.2024	1 year Change in %	2 Year Change in %	NSE Sectoral Performance	18.10.2021	12.01.2023	20.01.2024	1 year Change in %	2 Year Change in %
HANG SENG	25723	21514	14961	-30.46%	-35.97%	NSE	18418	17858	21571	20.79%	7.31%
NIKKEI	29204	26451	36546	38.16%	10.04%	NSE PHARMA	14384	12671	17233	36.00%	8.27%
NASDAQ	15021	10931	15310	40.06%	0.94%	NSE BANK & PSU	2718	4223	6055	43.38%	27.56%
FTSE	7203	7779	7487	-3.75%	1.90%	NIFTY BANK	39540	42082	46058	9.45%	7.08%
DOW JONES	35258	33973	37863	11.45%	3.44%	NIFTY IT	37106	28720	36697	27.78%	-0.56%
INTERNATIONAL GAS PRICE	3.4	5.6	2.11	-62.32%	-30.57%	NSE COMMODITY	6047	5942	7761	30.61%	11.04%
AMAZON	168.62	95.09	154.78	62.77%	-4.47%	NSE PSE	4341	4396	8399	91.06%	24.16%
TESLA	371.33	123.22	208.8	69.45%	-38.92%	NSE REALTY	516	425	861	102.59%	20.03%
FACEBOOK	341.13	132.89	381.78	187.29%	5.32%	NSE AUTO	11626	12769	18651	46.06%	18.83%

Miscellnous Index	18.10.2021	12.01.2023	20.01.2024	1 year Change in %	2 Year Change in %
Auto Index	11260	12769	18651	46.06%	19.81%
Health care Index	8572	8035	10948	36.25%	10.85%
Infrastructure Index	5082	5214	7666	47.03%	16.85%
Manufacture Index	7933	8336	11039	32.43%	14.07%
IT Index	34913	28720	36697	27.78%	2.43%
FMCG Index	38208	43966	55976	27.32%	15.87%
Financial services	18987	18540	20542	10.80%	3.78%
Bank Index	39508	42082	46058	9.45%	7.11%

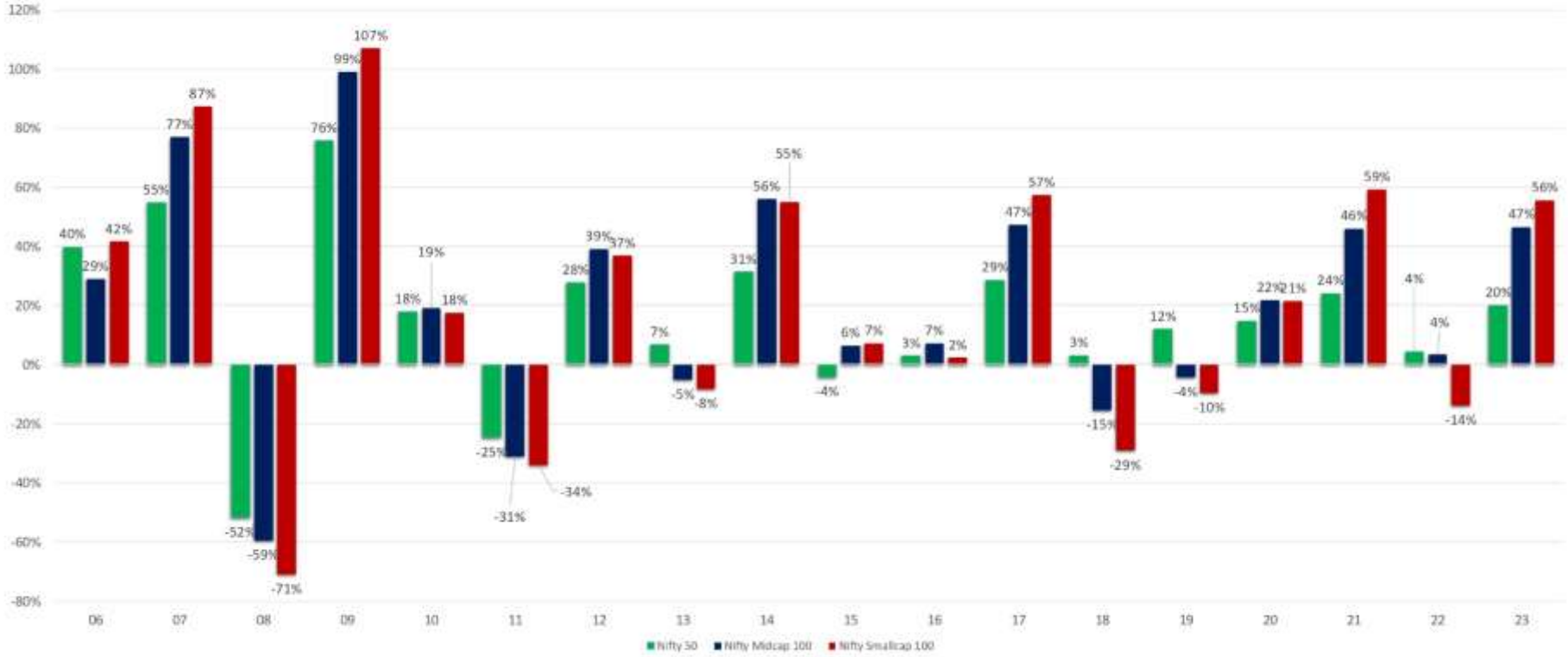
NAV Performance vs Index

Midcap Funds	18.10.2021	12.01.2023	20.01.2024	1 year Change in %	2 Year Change in %
SENSEX	59306	59958	71423	19.12%	8.48%
Nifty Index	18190	17858	21571	20.79%	7.84%
NIFTY MID CAP	30514	31360	48062	53.26%	18.26%
PGIM India Midcap Opportunities Fund	42.74	43.52	53.25	22.36%	9.87%
Edelweiss Mid Cap Fund	50.72	51.96	74.28	42.96%	15.86%
DSP Mid Cap Fund	87.45	86.22	119.88	39.04%	13.53%
HDFC Mid Cap Opportunities Fund	99.34	102.7	152.26	48.26%	17.38%
ICICI Pru Mid Cap Fund	167.24	169.04	227.84	34.78%	13.30%
Invesco India Mid Cap Fund	87.89	88.77	123.96	39.64%	14.55%

Small Cap Funds	18.10.2021	12.01.2023	20.01.2024	1 year Change in %	2 Year Change in %
NSE NIFTY SML100	10817	9647	14614	51.49%	12.99%
Nippon India Small Cap Fund	80.72	92.91	140.76	51.50%	21.33%
SBI Small Cap Fund	102.85	112.95	144.21	27.68%	14.34%
DSP Small Cap Fund	112.32	113.81	162.68	42.94%	15.48%
Franklin India Smaller Companies Fund	93.99	95.25	149.37	56.82%	18.54%
HDFC Small Cap Fund	76.62	79.63	118.84	49.24%	17.76%
Quant Small Cap Fund	135.55	145.46	223.8	53.86%	19.72%
Sundaram Smalll Cap Fund	150.55	149.56	218.45	46.06%	15.54%
ICICI Pru Small Cap fund	54.29	54.25	76.06	40.20%	14.31%

Focused Funds	18.10.2021	12.01.2023	20.01.2024	1 year Change in %	2 Year Change in %
NSE Focused TOP 100 Index	18027	18028	21880	21.37%	8.80%
Nippon india focused Fund	78.96	80.65	102.95	27.65%	11.65%
Franklin India Focused Equity Fund	70.5	70.89	88.99	25.53%	10.39%
SBI Focused Equity Fund	245.9	224.39	281.01	25.23%	6.25%
Bandhan Focused Equity Fund	52.78	51.26	69.3	35.19%	11.92%
Mirae Asset Focused Equity Fund	18.54	18.56	21.8	17.46%	7.48%
Invesco India Focused 20 Equity Fund	15.09	14.67	20.8	41.79%	13.73%
ICICI Pru Focused Equity Fund	51.66	51.94	67.98	30.88%	12.00%
Edelweiss Focused Equity Fund	10.35	10.23	13.47	31.67%	11.58%

S M L : Sabka Time Aayega



Source :- MFI, 29th Dec 2023, YOY- Dec

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mahindra Manulife INVESTMENT MANAGEMENT

Small & Midcaps Leads Earnings Growth

kotak Mutual Fund

EPS Growth For Different Periods; Small Is Beautiful

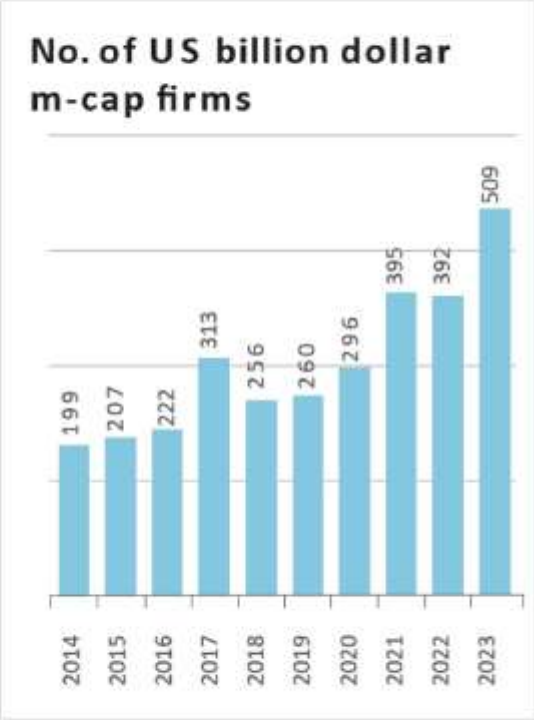
Mcap Classification	FY03-08	FY08-19	FY19-23	FY23-25E	FY24-25E
Average EPS Growth (%)					
Large Cap	29.7	5.2	10.1	28.0	23.6
Mid Cap	27.3	7.3	11.3	31.5	32.6
Small Cap	34.3	12.0	21.3	36.9	47.9
Trimmed Mean EPS Growth (%)					
Large Cap	29.4	5.7	8.4	24.9	19.2
Mid Cap	26.0	7.1	11.0	28.8	26.3
Small Cap	32.8	11.7	19.5	30.6	31.9

Source: Bloomberg, Prowess CMIE, IIFL Research

India Market Breadth

Row Labels	Large Cap	Midcap	Small Cap	Grand Total
Automobile and Auto Components	9	13	13	35
Capital Goods	5	18	39	62
Chemicals	1	10	21	32
Construction	1	2	9	12
Construction Materials	4	3	6	13
Consumer Durables	3	6	20	29
Consumer Services	3	6	10	19
Fast Moving Consumer Goods	9	6	14	29
Financial Services	24	35	38	97
Healthcare	6	13	24	43
Information Technology	6	7	11	24
Metals & Mining	8	4	8	20
Oil, Gas & Consumable Fuels	8	5	6	19
Others		5	10	15
Power	7	4	7	18
Realty	2	5	10	17
Services	2	4	8	14
Telecommunication	2	4	5	11
Grand Total	**100**	**150**	**259**	**509**

Source : Internal



Source : Business Line

mahindra Manulife INVESTMENT MANAGEMENT

Reflection of the past is seen in present circumstances

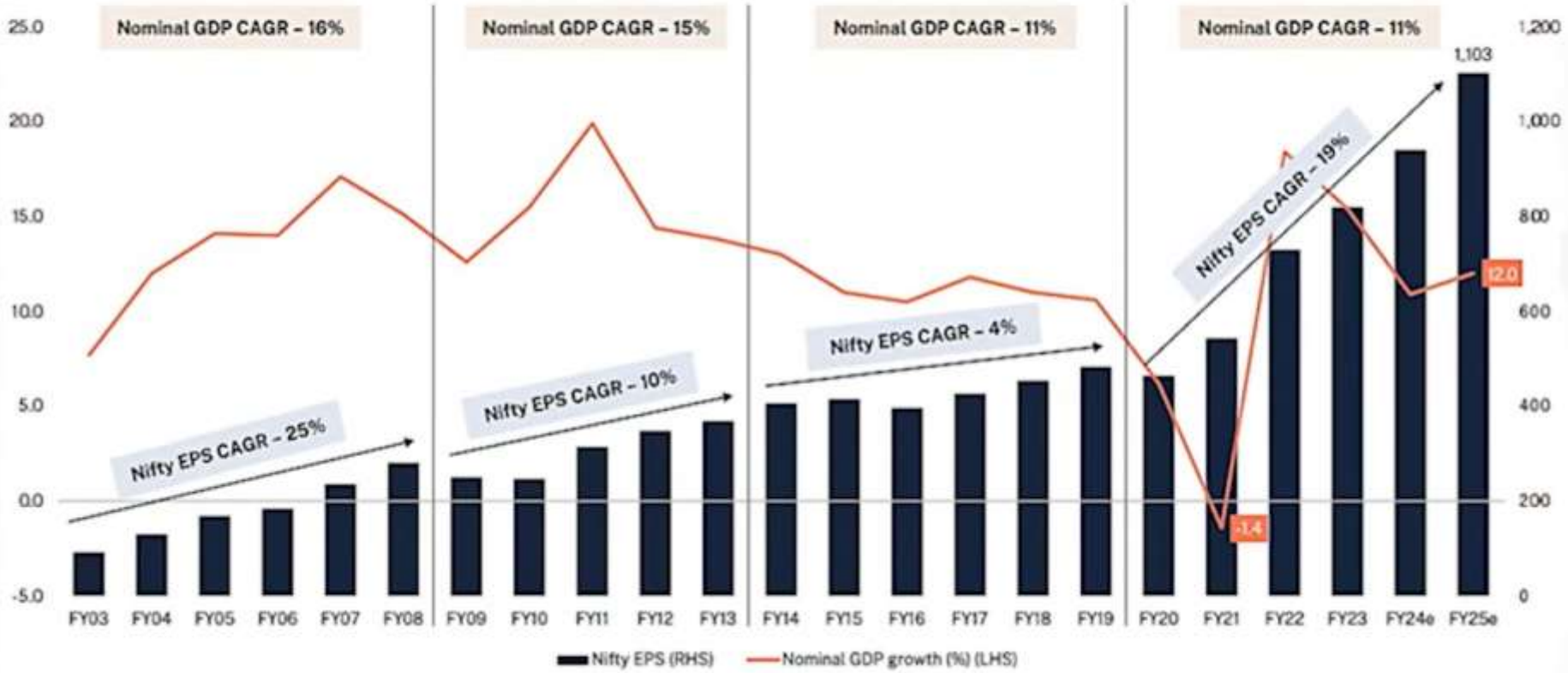
MACRO INDICATORS	2000-2008	2022 & beyond
INFLATION	Increasing (4.01%-8.35%)	Increasing (5.7-6.75%)
GDP GROWTH RATE	Increasing (3.80%-7.70%)	High (6.6%)
IIP INDEX	Increasing (6.70%-11.50%)	11.5%
FISCAL DEFICIT	Declining (5.18%-3.32%)	Increasing (3.3%- 4.90%)
EXCHANGE RATE	Rs 44.94-41.35	Rs 76.49 -83.5
CRUDE OIL PRICES	Increasing ($30.38-$72.34)	$128- $74
GOLD PRICE	Increasing (4400-10800)	47500-56180 (Currently)
UNEMPLOYMENT	Moderate	Moderate
LENDING RATE	Increasing (12.29%-13.02%)	16-17%
GFCF	Increasing (26%-36%)	1.5% & 18% (Increasing)
CURRENT ACCOUNT DEFICIT	High	Moderate
DISPOSABLE INCOME	High	Increasing
FOREX RESERVE	High ($38.04B- $199.18B)	$597.72B &___
BOND YIELD	10.8% to 7.79%	7.35% &____
FD RATE	Increasing (6% to 7.5%)	5.25% -7.5%
SENSEX	3970-20286	54800&____

Technical n Fundamental View & Way Forward

Short Term - Technically Nifty should re-test its last peak and having a strong support at 20250-20500 Levels (Every Dip to be bought) before resuming its uptrend journey for 22500 levels & Beyond

Nifty **Target from FY 2024-2027 may be** seen between **22000-35900 levels** & Nifty has very **strong support at 19800-20250 levels**

Indian Economy And Corporate India Are In Strong Shape



Source: Bloomberg, RBI, PIB, Spark PWM

Nifty EPS **Estimates and Expected movement Range** 2024-2026

Year	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	Valuation Zone
EPS NIFTY	355	369	406	414	427	457	498	582	704	852	1006	1167	1330	
Corp. Avg Earnings		4.00%	10.00%	2.00%	3.00%	7.00%	9.00%	17.00%	21.00%	21.00%	18.00%	16.00%	14.00%	
10 P/E	10	3692	4061	4142	4267	4565	4976	5822	7045	8524	10059	11668	13302	Attractive / Buying Zone
12 P/E	12	4430	4873	4971	5120	5478	5971	6987	8454	10229	12070	14002	15962	Attractive / Buying Zone
14 P/E	14	5169	5686	5799	5973	6392	6967	8151	9863	11934	14082	16335	18622	Attractive / Buying Zone
18 P/E	18	6646	7310	7456	7680	8218	8957	10480	12681	15344	18106	21003	23943	Attractive / Buying Zone
20 P/E	20	7384	8122	8285	8533	9131	9952	11644	14090	17049	20117	23336	26603	Attractive / Buying Zone
22 P/E	22	8122	8935	9113	9387	10044	10948	12809	15499	18753	22129	25670	29263	Fair / Hold Zone
25 P/E	25	9230	10153	10356	10667	11413	12441	14556	17612	21311	25147	29170	33254	Fair / Hold Zone
27 P/E	27	9968	10965	11185	11520	12326	13436	15720	19021	23016	27158	31504	35914	Fair / Hold Zone
30 P/E	30	11076	12184	12427	12800	13696	14929	17467	21135	25573	30176	35004	39905	Cautious / Sell Zone
32 P/E	32	11814	12996	13256	13653	14609	15924	18631	22544	27278	32188	37338	42565	Cautious / Sell Zone
35 P/E	35	12922	14214	14498	14933	15979	17417	20378	24657	29835	35205	40838	46556	Cautious / Sell Zone
40 P/E	40	14768	16245	16570	17067	18261	19905	23289	28179	34097	40235	46672	53206	Cautious / Sell Zone

Be Ready For Volatility

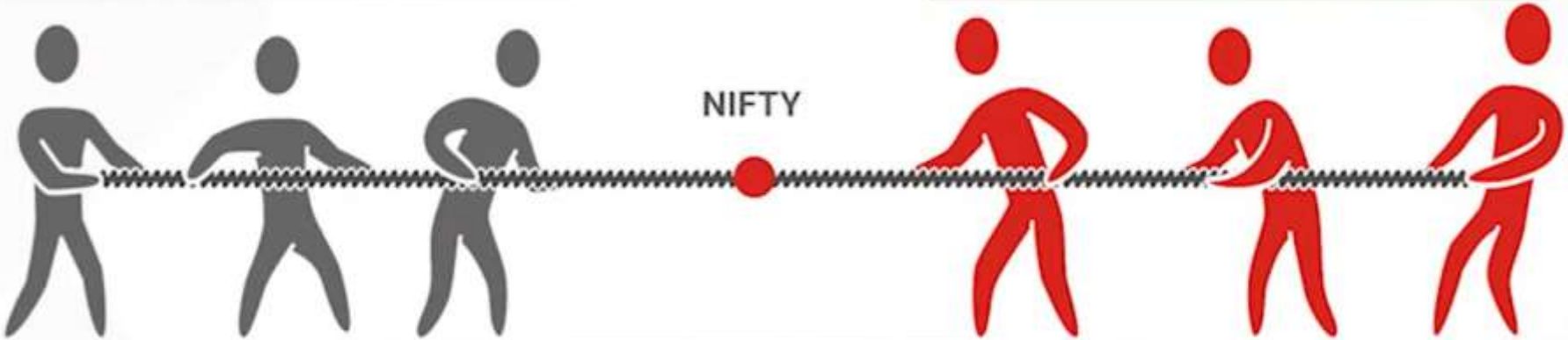
kotak Mutual Fund

Events : US Fed Pivot, Election 24, Energy Prices, Consumption Recovery

19K — 21K — 23K

- Global recession
- Rates higher for longer
- Risks to earning trajectory
- Supply of paper

- Yield Softening
- Softer oil prices
- Favourable India Macros
- Election Results As per expectation



India: The best is yet to come

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BHAROSA APNO KA

- Indian economy is set to become 3rd largest economy within next 5 years
- **India to retain the crown of fastest growing major economy; To grow at twice the rate of world growth for next 5 years**

GDP Ranking	2013	2023E	2026E	2027E
1	US	US	US	US
2	China	China	China	China
3	Japan	Germany	Germany	India
4	Germany	Japan	India	Germany
5	France	India	Japan	Japan
6	UK	UK	UK	UK
7	Brazil	France	France	France
8	Russia	Italy	Brazil	Brazil
9	Italy	Brazil	Canada	Canada
10	India	Canada	Italy	Italy
11	Canada	Russia	Mexico	Mexico
12	Australia	Mexico	Russia	Korea
13	Korea	Korea	Korea	Russia
14	Spain	Australia	Australia	Australia
15	Mexico	Spain	Spain	Indonesia

Source: IMF

India's contribution to global growth is likely to average ~17% over 2024-30 vs 13% in 2014-23

Source: Morgan Stanley; contribution is calculated based on GDP calculated on purchasing power parity basis

Average real* GDP growth expected over 2024-28

Source: IMF

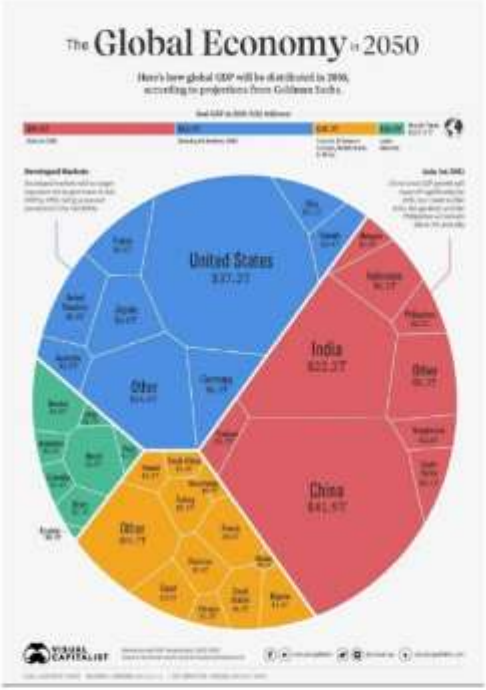
In my last 50 years of working life in India, I have never been as optimistic about the future potential of our country as I am today: Deepak Parekh, Former Chairman, Housing Development Finance Corporation

India has more promise than any other large country: Elon Musk, CEO, Tesla

This (India) is the most important country in the world to me: Joe Biden, US President

*Real growth rate is based on GDP (USD constant currency)

Refer disclaimers on slide 76



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Thank you!

Feel free to reach out to us if you have any questions.

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